

Meaning of Controlling

Controlling means ensuring that activities in an organization are performed as per the plans.

Importance of Controlling

- (i) Accomplishing organizational goals: Measures progress towards goals, identifies deviations, and indicates corrective action.
- (ii) Judging accuracy of standards: Helps management verify if set standards are accurate and objective.
- (iii) Making efficient use of resources: Reduces wastage and spoilage by ensuring activities conform to predetermined standards and norms.
- (iv) Improving employee motivation: Employees know expectations and performance standards, aiding appraisal.
- (vi) Facilitating coordination in action: Provides direction, ensuring all activities and efforts are coordinated towards organizational goals.

Limitations of Controlling

- (i) Difficulty in setting quantitative standards: Effectiveness is reduced when standards cannot be defined quantitatively.
- (ii) Little control on external factors: Cannot control external factors like government policies, technology, or competition.
- (iii) Resistance from employees: Employees may view control as a restriction on their freedom.
- (iv) Costly affair: Involves significant expenditure, time, and effort.

Controlling Process

A systematic process involving the following steps:

1. Setting performance standards
2. Measurement of actual performance
3. Comparison of actual performance with standards
4. Analysing deviations
5. Taking corrective action

Step 1: Setting Performance Standards

The first step is establishing criteria against which actual performance will be measured. Standards can be quantitative or qualitative (e.g., improving goodwill, employee motivation). They should be flexible.

Step 2: Measurement of Actual Performance

Performance should be measured objectively and reliably, preferably in the same units as the standards for easier comparison. Measurement is typically done after task completion.

Step 3: Comparing Actual Performance with Standards

This step identifies deviations between actual performance and standards. Comparison reveals discrepancies between desired and actual results.

Step 4: Analysing Deviations

It's important to determine the acceptable range of deviations. Deviations in critical areas require urgent attention.

- 1. Critical Point Control: Focus control on key result areas (KRAs) crucial for organizational success.
- 2. Management by Exception: Only significant deviations (beyond permissible limits) should be brought to management's notice. Attempting to control everything results in controlling nothing.

Step 5: Taking Corrective Action

The final step. No action is needed if deviations are within acceptable limits. If deviations exceed the acceptable range, especially in important areas, immediate managerial attention is required to prevent recurrence and achieve standards.

Relation Between Planning and Controlling

Planning and controlling are inseparable twins of management.

- A system of control presupposes the existence of standards provided by planning.
- Once a plan is operational, controlling monitors progress, measures it, identifies deviations, and initiates corrective measures.
- Without pre-set standards, managers have nothing to control.
- Planning seeks consistency, while controlling ensures events conform to plans.
- Planning involves thinking, articulation, and analysis to set courses of action; controlling checks if these actions are translated into desired results.

Planning vs. Controlling Perspectives

	Aspect	Description
01	Planning without controlling is meaningless	A system of control presupposes the existence of standards provided by planning. Once a plan becomes operational, controlling is necessary to monitor the progress, measure it, discover deviations and initiate corrective measures to ensure that events conform to the plans.
02	Controlling is blind without planning	If the standards are not set in advance, managers have nothing to control. When there is no plan, there is no basis of controlling. Planning seeks consistent, integrated while controlling seeks to compels events to conform to plans

	Aspect	Description
03	Planning is basically an intellectual process	Planning involving thinking, articulation and analysis to discover and prescribe an appropriate course of action for achieving objectives. Controlling checks whether decisions have been translated into desired action.
04	Planning is looking ahead while controlling is looking back	Plans are for the future and based on forecasts, thus planning is forward-looking. Controlling is a postmortem of past activities to find deviations, thus backward-looking. Both are interdependent.
05	Planning and controlling are interrelated	They reinforce each other: ► Planning based on facts makes controlling easier and effective. ► Controlling improves future planning by providing information derived from past experience.